

Legacy Education LGCY

May 29, 2026 - 8:46pm EST
by

ROIC2203

2026 2027

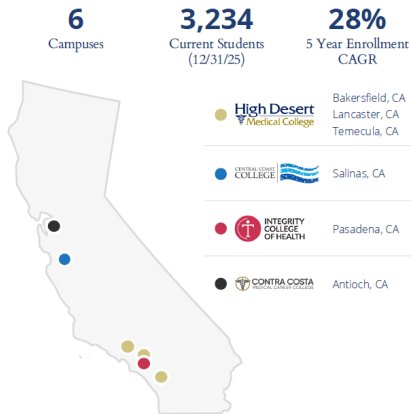
Price:	11.11	EPS	0	0
Shares Out. (in M):	13	P/E	0	0
Market Cap (in \$M):	142	P/FCF	0	0
Net Debt (in \$M):	-7	EBIT	0	0
TEV (in \$M):	135	TEV/EBIT	0	0

Description

Legacy Education is a for-profit education institution which provides post-secondary healthcare education in the state of California.

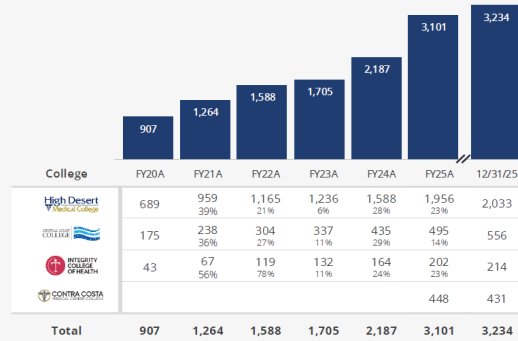
They have six campuses focused on healthcare education programs including: nursing, physician assistant, surgery, veterinary medicine, and dentistry. They offer 68 programs with over 3234 enrolled students, with a 16.8% year-over-year growth in enrollment.

Geographic Footprint



Enrollment Growth by College

Ending Enrollment



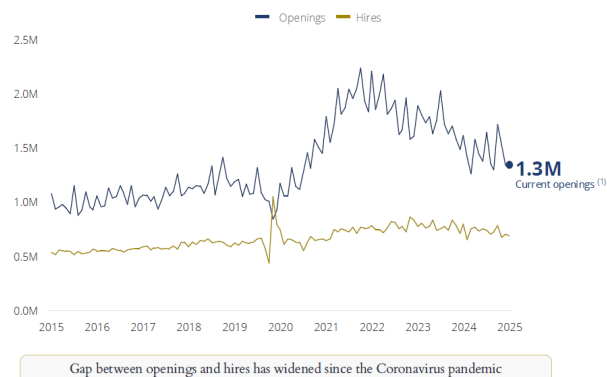
According to the U.S. Bureau of Labor Statistics's latest projections, the healthcare occupation sector, is expected to be the fastest growing major industry from 2024 to 2034.

Legacy has positioned itself to capture a substantial part of that gap between supply and demand with strategic M&A, organic growth through expanding its programs and the best unit economics in the industry.

U.S. Healthcare Labor Market



Healthcare & Social Assistance Job Openings



The U.S. is facing a shortage of healthcare professionals driven by increased demand for healthcare services

Growth drivers for the U.S. healthcare labor market include:

- Expanding aging population
- Technological advancement
- Growing emphasis on preventive care

California community colleges are plagued by poor completion rates, uncertain career pathways, and poor placement rates

8%

Projected Growth from 2024 – 2034 ⁽¹⁾

1.9M

New Jobs Created from 2024 – 2034 ⁽¹⁾

⁽¹⁾ As of August 2025
Source: U.S. Bureau of Labor Statistics

The business is resilient, because education tends to be counter-cyclical. When the job market gets weak, people flock to healthcare programs to find security, and since Legacy focuses on roles with massive labor shortages, their demand stays high even when the rest of the economy is slowing down.

What makes their model interesting, is the focus on accelerated, hands-on programs for students, who want immediate employment. This strategy is perfectly timed with the massive demand we're seeing from an aging population and new medical tech that requires specialized skills.

Legacy functions more like a healthcare labor supply chain, than a traditional school. Their service portfolio is built around different levels of clinical intensity and credentialing, starting with high-acuity nursing. They offer everything from Vocational Nursing to Registered Nursing programs. Students get direct entry into high-wage roles providing them a high return on their investment.

Something that gives them a competitive advantage in this space, is their exclusive clinical placement slots in California hospitals, because those spots are incredibly hard for new competitors to secure.

They lean heavily into diagnostic imaging, covering fields like Ultrasound and MRI technology where students can go from the classroom to a paycheck in around 18–24 months.

For students looking for even faster entry into the workforce, they provide allied health certificates in areas like surgical tech or phlebotomy that get people job-ready in 6–12 months.

Organic Growth Within Existing Footprint

Top Program Mix



	 Ultrasound Technician AAS	 Medical Assisting	 Cardiac Sonography AAS	 Magnetic Resonance Imaging (MRI) AAS	 Vocational Nursing
Program Duration	108 – 123 weeks	34 – 42 weeks	115 – 130 weeks	115 weeks	56 – 68 weeks
Quarterly Revenue (per student) ⁽¹⁾	~\$6.8k	~\$6.8k	~\$6.5k	~\$7.0k	~\$7.6k
Extern Sites ⁽²⁾	461	936	70	49	70
Re-Enrollment Opportunity	Highest Degree in Track	Yes	Highest Degree in Track	Highest Degree in Track	Yes

Collectively, Legacy Education's top five programs by enrollment represent roughly 64% of total enrollment

⁽¹⁾ Calculated by dividing total billings divided over midpoint program duration on a quarterly basis.
⁽²⁾ Extern sites facilitate experiential learning opportunities to provide students occupational experiences in their field of study.
 Note: Data as of 1/29/25

17

Economics

The pricing power of Legacy Education, comes down to a delicate balance between market demand and federal regulations. In the for-profit education world, the ability to raise prices is always there, but the real challenge is keeping those gains while staying compliant with the law. Legacy shows some strong pricing power in specialized areas like nursing and ultrasound. They maintain a student lifetime value of about \$25,000 while only spending around \$1,500 to acquire each student, which is a 15x return on their marketing spend. This suggests that students aren't that sensitive to price because they see this tuition as a necessary bridge to a high-paying career rather than just an expense.

Students pay \$25k for a program leading to a \$60k/year plus job and that is compelling. Additionally Legacy has a real edge because they own exclusive clinical placement slots that competitors just can't replicate.

Legacy has something called "the hybrid delivery model", which scales its educational capacity by moving lecture-based coursework online, allowing physical campuses to focus almost exclusively on high-ROI clinical simulation labs. This operational efficiency is reinforced by a centralized corporate infrastructure that serves all four college brands - eliminating redundancies in legal, finance, and compliance to ensure that overhead does not scale at the same rate as top-line revenue.

The negative working capital characteristic, where tuition is collected before the service is delivered creates an economic float. The only area requiring careful monitoring is student receivables. To stay within the 90/10 Rule (which limits federal funding to 90% of revenue), Legacy offers "TuitionFlex", an internal financing program for students.

Competition

Legacy primarily competes with San Joaquin Valley College, UEI College, and Pima Medical Institute. All of these schools are fighting for the same student base, in the technical and medical fields. However, Legacy tries to stand out by leaning into a very aggressive acquisition and expansion strategy that keeps their program list tightly aligned with what the industry actually needs right now. By focusing so heavily on the urgent shortage of healthcare professionals, they've managed to build a competitive edge that feels very grounded in the current economic reality.

Valuation

Legacy trades at an 11.5x LTM EV/EBITDA and 18.5x LTM PE multiple. This is compelling for a business that has been growing revenues at a 30% CAGR with a 5year average ROIC of 37%.

Risks:

- New regulations could materially and adversely affect the business.
- Increased competition.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Value

Messages

Subject growing revenues at a 30% CAGR
Entry 05/31/2026 07:19 AM
Member churchill
 Definitely compelling, but can you elaborate on the growth algorithm? shares outstanding have also increased by 30%+ recently...

Subject Re: growing revenues at a 30% CAGR
Entry 05/31/2026 08:10 AM
Member ROIC2203

@Churchill Thank you for the message.

So, the large, 30% share outstanding increase was in OCT 2024 and that was the IPO, when they issued **2,875,000 shares of common stock**. With that, the share count rose from ~9.3 to ~12.3mil. After that, the count steadily increased to ~ 12.6mil, from stock based compensation.

The most recent Q3 (May 14 2026) revenue growth, was caused by higher new student starts and a 9.4% increase in student enrollment and the launch of new healthcare programs at High Desert Medical College and Integrity College of Health.

Historically the company has mostly grown revenues, in the following ways:

- ~ 37% of current enrollment was due to successful M&A activities
- organic growth from acquiring new students, with a high ROI
- creating new, but adjacent programs and new fields of study
- New campuses (mostly purchased than built from 0)

Regarding my personal opinion on the future (what the numbers will look like in 5-10years) revenue growth, I feel confident that they can continue growing, probably at a faster rate than the overall SP500. But I could not confidently forecast the exact growth amount. When looking at the overall SP500 multiple and its growth, I think that LGCY will continue to grow faster, while we are also paying a lower multiple.

New Campuses (Buy vs Build)



Track Record of Successful Campus Acquisitions

M&A Track Record

Target	Qualitative Transaction Rationale
 Closed – Jan 2019	→ 35-year single owners with repeated highest grants of accreditation → Profitable and steady growth → Added 3 new programs → 18% Enrollment CAGR since acquisition close
 Closed – Dec 2019	→ New accrediting body (ABHES) which expanded our program offerings up to master's degrees → Expanded our footprint in California to accommodate for the growing student population → 35% Enrollment CAGR since acquisition close
 Closed – Dec 2024	→ Graduates over 1,200 students annually and offers 16 allied health programs → Expands our program offerings with surgical technology and sterile processing → Strengthens our position in Northern California → 10% Enrollment CAGR since acquisition close
~ 37% of current enrollment is due to successful M&A activities ⁽¹⁾	

Legacy Education M&A Playbook

- 1 Single campus or multi-campus for-profit postsecondary education operators
- 2 Expand our geographic footprint
- 3 Programs offering positive cross-campus synergy opportunities
- 4 Capital efficient transactions – strongly prefer transactions immediately accretive to shareholders
- 5 Technology or platforms that augment delivery models

Active Pipeline – Management and directors with network of quality potential acquisition targets

(1) Calculated by dividing the number of students at CCC, ICH, and CCMCC by the total number of students enrolled at Legacy as of 12/31/25
 Note: Enrollment data as of 12/31/25

Subject Re: Re: growing revenues at a 30% CAGR
Entry 05/31/2026 10:45 AM
Member churchill

Thanks, I'm really unfamiliar with the industry so apologies for the basic questions

M&A: at what multiples? are they synergetic? how does the target pool look like?

organic: is this capex intensive (eg buildings) it is just about hiring teachers, is it pricing driven?

there has been a lot of inflation in the industry over the last five years and then it seems with the IPO proceeds they acquired something, but I still don't understand how this company can continue growing at 30% per year without deploying huge amounts of capital.

Subject Re: Re: Re: growing revenues at a 30% CAGR
Entry 06/01/2026 07:52 AM
Member ROIC2203

After its Oct 2024 IPO, Legacy completed only one M&A deal - Contra Costa Medical Career College was acquired right after the IPO. So unfortunately we have only a small sample size to work with and the synergies from this deal have not yet fully been realized. Legacy did not disclose what multiple they paid, but we can calculate the approximate value:

They paid 8mil USD for over 500 students (14 distinct programs). So they paid 16k USD/student. We know that quarterly revenue per student is between 6.5k usd-7.6k USD or 26k-30.4k USD/year. If we multiply the 500 acquired students with the lowest value 26k/year of revenue, we get 13mil USD (approximate revenue of Contra Costa College). So they paid approximately 1.6x revenues. To get some sort of approximate idea of what forward EBITDA multiple they paid, we can use Legacy's 18% EBITDA margin and apply it to that 13mil USD of acquired revenue. Using an 18% EBITDA margin we get a 2.35mil USD forward EBITDA on the acquisition. They paid 8mil USD, so that's approximately a **3.5x forward EV/EBITDA multiple**.

There were massive synergies after the acquisitions. Redundant costs were cut. New programs were added. Some courses were moved online to reduce costs.

I would not worry at all about the future acquisition target pool. Legacy currently owns 4 colleges in California and there are over 45 health and vocational medical career colleges in California, that offer similar short-term, certificate-based, and hands-on training.